IN THE COURT OF APPEAL OF THE DEMOCRATIC SOCIALIST REPUBLIC OF SRI LANKA

Court of Appeal Case No: CA/CPA/0051/2023

HC Kurunegala Case No: HCW 09/2021

In the matter of an application for Revision under and in terms of Article 138 of the Constitution of the Republic read together with the Section 11(a) of the High Court of Provinces (Special Provisions) Act No. 09 of 1990 against the Judgement delivered on 31.03.2023 by his Honour the Judge of Provincial High Court of North Western Province holden in Kurunegala in case bearing No. HCW 09/2021.

Ranasinghe Arachchige Premasiri Ranasinghe,
Embogedara, Magulagama.

Petitioner

Vs.

1. **K. M. H. S. K. Jayalath**,
   Co-operative Development Commissioner - North Western province
   North Western Provincial Department of Co-operative Development 1st Floor, North Western Provincial Council Complex, Kurunegala.

2. **Panduwasnuwara New Multi-Purpose Co-operative Society (LTD)**
   Kurunegala Road, Hettipola.

3. **R. M. Sunilrathna** - former Chairman

4. **C. G. Ranjith Abyepala** - former Vice Chairman

5. **S. Ranjith Dharmasiri** - former Director

6. **H. M. J. Suriyawansha** - former Director

7. **S. G. M. Priyantha Bandara** – Director

8. **H. M. Nishshanka Ramya Kumara** - former Director

9. **K. P. Nimal Karunarathne** - former Director

10. **H. M. Thusitha Jayantha Siriwardene**- Former Director

11. **B. H. Kularathne** - Former Director,

3rd to 11th Respondents, of:
Panduwasnuwara New Multi-Purpose Co-operative Society (LTD)
Kurunegala Road, Hettipola.

Respondents

AND NOW BETWEEN

Ranasinghe Arachchige Premasiri Ranasinghe,
Ambogedara, Magulagama.

Petitioner-Petitioner

Vs.

1. **K. M. H. S. K. Jayalath**,

Former Co-operative Development Commissioner -North Western province North Western Provincial Department of Co-operative Development 1st Floor, North Western Provincial Council Complex, Kurunegala.

1A. **Wasantha Gunasekara**,
Co-operative Development Commissioner - North Western province
North Western Provincial Department of Co-operative Development
1st Floor, North Western Provincial Council Complex, Kurunegala.

2. **Panduwasnuwara New Multi-Purpose Co-operative Society (LTD)**
Kurunegala Road, Hettipola.

3. **R. M. Sunilrathna** - former Chairman

3A. **H. H. D. Emal Priyantha Herath** – Chairman

4. **C. G. Ranjith Abyepala** - former Vice Chairman

4A. **H. M. Nishshanka Ramya Kumara** - Vice Chairman

5. **S. Ranjith Dharmasiri** - former Director

5A. **U. H. Lakmal Sanjeewa Premathilake** – Director

6. **H. M. J. Suriyawansha** - former Director

6A. **W. L. Dharmasena** - Director

7. **S. P. M. Priyantha Bandara** – Director

7A. **S. P. M. Priyantha Bandara** - Director

8. **H. M. Nishshanka Ramya Kumara** - former Director

8A. **A. M. Dayananda** - Director

9. **K. P. Nimal Karunarathne** - former Director

9A. **R. D. M. Gnaraththne** - Director

10. **H. M. Thusitha Jayantha Siriwardene**- Former Director

11. **B. H. Kularathne** - Former Director,

3rd to 11th Respondents, of:
Panduwasnuwara New Multi-Purpose Co-operative Society (LTD)
Kurunegala Road, Hettipola.

Respondents-Respondents

Before : **D. THOTAWATTA, J.**
K. M. S. DISSANAYAKE, J.

Counsel : Asthika Upul Devendra with Jayathu Wickramasuriya instructed by Manjula Balasoooriya for the Petitioner-Petitioner.

P. Witharana, SC for the Respondents.

Sapumal Bandara with Vishmi Yapa Abeywardena instructed Thavisha Hettiarachchi for the 2nd to 11th Respondent-Respondents.

Written Submissions

of the Petitioner -Petitioner tendered on	:	30.04.2025
Written Submissions of the 1A Respondent -Respondent tendered on	:	28.10.2025
Written Submissions of the 2nd to 11th Respondent-Respondent tendered on	:	07.11.2024
Decided on	:	27.02.2026

K. M. S. DISSANAYAKE, J.

Instant application in revision arises from a judgement of the learned High Court Judge of the North Western Province holden at Kurunegala, a copy of which was annexed to the petition marked as '**AP8**' (hereinafter called and referred to as 'the judgement') wherein, the Petitioner-Petitioner (hereinafter called and referred to as 'the Petitioner') seeks *inter-alia*, to set aside the judgement and to grant and issue a mandate in the nature of a writs of *certiorari* quashing the appointments of the 10th and 11th Respondents-Respondents as contained in '**පැ7**' and the purported decision dated 08.03.2021, a copy of which was annexed to the petition marked as '**පැ11**'. On the other hand, the 2nd to 11th Respondent-Respondents (hereinafter called and referred to as 'the 2nd to 11th Respondents') had their Joint statement of objections, sought a dismissal of the instant application in revision with costs in view of the reasons stated therein.

When this matter came on for hearing before us, Counsel for the parties invited this Court to dispose of the instant application on the strength of the written submissions and hence, the instant application will be disposed of on the strength of the written submissions as urged.

The instant application in revision arises in this way; The Petitioner in the instant application, had *inter-alia*, made an application to the High Court of the North Western Province holden at Kurunegala praying for a mandate in the nature of a writ of *certiorari* to quash the decision made by the 1st Respondent to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as contained in '**ඉ7**' on the basis that the 1st Respondent had no authority to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent by reason of the fact that the 2nd Respondent is not a Co-operative Society operating with State funds within the meaning of section 60C of the Co-operative Societies Act No. 05 of 1972 as amended (hereinafter called and referred to as 'the Act').

While totally, denying the position so adverted to by the Petitioner, the Respondents in their joint statement of objections filed before the High Court of the North Western Province holden at Kurunegala, had vehemently, objected to the application for a mandate in the nature of a writ of *certiorari* to quash the decision of the 1st Respondent to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as contained in '**ඉ7**' on the basis that, the 2nd Respondent-Co-operative Society is a cooperative society operating with State funds as was evident from the documentary evidence annexed thereto, marked **ඊ1, ඊ2** and **ඊ3** and therefore, 1st Respondent had authority to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as contained in '**ඉ7**' and as such, the act of the 1st Respondent which culminated in the appointment of 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent, was solely, within the power vested in him under section 60C of the Act and therefore, it was *intra-vires* and hence, the application of the Petitioner should be dismissed *in-limine*.

In view of the respective positions so adverted to by the Petitioner and the Respondents in the High Court of the North Western Province holden at

Kurunegala as enumerated above, the pivotal question that arose for his determination by the learned High Court Judge of the North Western Province holden at Kurunegala was **whether or not the 2nd Respondent-Co-operative Society is a cooperative society operating with State funds**. [Emphasis is mine]

The learned High Court Judge of the North Western Province holden at Kurunegala had having relied on the documentary evidence produced before it in their joint statement of objections by the Respondents marked as **පැ1, පැ2** and **පැ3** as enumerated above, proceeded to dismiss the application of the Petitioner for a mandate in the nature of a writ of *certiorari* to quash the decision of the 1st Respondent to appoint by '**ඔජ7**' the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent by holding that 2nd Respondent Co-operative Society is a Cooperative Society operating with State funds and therefore, the 1st Respondent had legal authority to appoint by '**ඔජ7**' the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as such the act of the 1st Respondent which culminated in the appointment of 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent, and which was sought to be impugned in the application before it by the Petitioner was within his power and therefore, it was *intra-vires*.

It is this decision of the learned High Court Judge of the North Western Province holden at Kurunegala that the Petitioner *inter-alia*, seeks to revise and set aside in the instant application in revision before us.

It was the position of the Petitioner adverted to, before the High Court of the North Western Province holden at Kurunegala in support of his application for a mandate in the nature of writs as enumerated above, that nowhere in the audit report published by the 2nd Respondent in the 2018, had it been stated that the 2nd Respondent was a Co-operative Society operating with State Funds as stipulated in Section 60C of the Act as amended. Hence, the position so adverted to by the Petitioner was that **a Co-operative Society in question should**

operate with State Funds at the time of the Registrar going to exercise the power so vested in him by section 60C of the Act as amended and not before or after.[Emphasis is mine] However, it appears to be the position of the Respondents that there was no legal requirement as such contained in the section 60C of the Act as amended.

The Respondents had along with their joint statement of objections, tendered to Court documentary evidence marked **වි1, වි2** and **වි3** in proof of their assertion that the 2nd Respondent was a Co-operative Society operating with State Funds as stipulated in Section 60C of the Act as amended.

Upon a careful scrutiny of the documentary evidence marked **වි1, වි2** and **වි3**, it undoubtedly, shows that the 2nd Respondent-Co-operative Society had operated with State Funds in the year 2008 and the Petitioner had never sought to refute it or controvert it by proof on the contrary. Besides, the Petitioner being the General Manager and/or the Chief Executive Officer of the 2nd Respondent Co-operative Society during the period relevant to **වි1, වි2** and **වි3**, is now estopped from denying the fact that the 2nd Respondent-Co-operative Society had operated with State Funds in the year 2008 for; it was a fact that ought to have been well within his personal knowledge being the General Manager and/or the Chief Executive Officer thereof at that time.

It is in this context, let me now, examine section 60C of the Act as amended and it enacts thus;

> "Where the Registrar is of opinion that it is necessary or expedient to do so for the purpose of ensuring efficient management of the affairs of a registered society operating with State funds or for the purpose of safeguarding any investments or advances in money or goods made to such society by the Government may notwithstanding anything to the contrary in this Law or any other law or in the by-laws of such society, nominate such number of persons to be members of the committee of such

registered society as are in his opinion necessary or expedient for such purpose :

Provided that the number of such nominated members, shall be less than one-half of the total number of members of such Committee."

In the light of section 60C of the Act as amended, where the Registrar is of opinion that it is necessary or expedient to do so for the purpose of ensuring efficient management of the affairs of a registered society operating with State funds.....may notwithstanding anything to the contrary in this Law or any other law or in the by-laws of such society, nominate such number of persons to be members of the committee of such registered society as are in his opinion necessary or expedient for such purpose subject always to the proviso thereto.

However, upon a careful analysis of section 60C of the Act as amended, it becomes manifest that before the Registrar exercises the powers so vested in him by section 60C of the Act as amended, it would as a pre-condition, be incumbent upon him to form an opinion that the Co-operative in question is a Co-operative Society operating with State Funds as stipulated in section 60C of the Act as amended.

It is to be observed that the section 60C of the Act as amended does not in any manner, impose such a pre-condition for the Registrar to exercise the powers so vested in him thereby, to the effect that **a Co-operative Society in question should operate with State Funds at the time of the Registrar going to exercise the power so vested in him by section 60C of the Act as amended and not before or after**. [Emphasis is mine]

Hence, the Respondents had clearly, established before the learned High Court Judge of the North Western Province holden at Kurunegala by way of documentary evidence marked as **පැ1, පැ2** and **පැ3** that the 2nd Respondent-Co-operative Society is a Co-operative Society operating with State Funds within the meaning of section 60C of the Act as amended.

I would therefore, hold that the learned High Court Judge of the North Western Province holden at Kurunegala was entirely, justified in dismissing the application of the Petitioner for a mandate in nature of writs as enumerated above, by rightly, holding that in view of the documentary evidence marked as **වි1, වි2** and **වි3**, it had been established that the 2nd Respondent-Co-operative Society is a Co-operative Society operating with State Funds within the meaning of section 60C of the Act as amended and therefore, the 1st Respondent had derived the power under section 60C of the Act as amended to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as such the act of the 1st Respondent which culminated in the appointment of 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent, was solely, within the power vested in him under section 60C of the Act and therefore, it was *intra-vires* and hence, the application of the Petitioner should be dismissed *in-limine*.

The relief sought in prayer 'ඇ' of his petition of the Petitioner filed in the High Court of the North Western Province holden at Kurunegala (**AP1**) is based on the premise that the decision to interdict the Petitioner by the Respondents as contained in '**ඔ11**' was *ultra-vires* of the powers of the Board of Directors by reason of the fact that the interdiction of the Petitioner was proposed to the Board of Directors by the 10th Respondent whose appointment according to the Petitioner, was *ultra-vires* of his powers of the 1st Respondent and therefore, is illegal and no force or avail of law. Hence, it appears that the granting or not granting of the relief prayed for in 'ඇ' of his petition of the Petitioner filed in the High Court of the North Western Province holden at Kurunegala (**AP1**) is solely, dependent upon the granting or not granting of the relief prayed for in prayer 'ඇ' of the petition of the Petitioner.

The learned High Court Judge of the North Western Province holden at Kurunegala had held that the decision contained in '**ඔ11**' is intra-vires of the powers of the Respondents and therefore, it was legal for; it had been established

by the documentary evidence marked as **අ1, අ2** and **අ3** that the 2nd Respondent-Co-operative Society is a Co-operative Society operating with State Funds within the meaning of section 60C of the Act as amended and therefore, the 1st Respondent had derived the power under section 60C of the Act as amended to appoint the 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent and as such the act of the 1st Respondent which culminated in the appointment of 10th and 11th Respondents as Directors to the Board of Directors of the 2nd Respondent, was solely, within the power vested in him under section 60C of the Act and therefore, it was *intra-vires* and hence, the application of the Petitioner should be dismissed *in-limine*. On this premise, Court had rightly, refused to grant the relief as prayed for in prayer 'ඇ' of the petition of the Petitioner filed in the High Court of the North Western Province holden at Kurunegala (**AP1**).

In view of the above, I see no error whatsoever, in the judgement (**AP8**).

Hence, I would hold that the instant application in revision is not entitled to succeed both in fact and law.

It was brought to our notice by the Respondents in their written submissions that pursuant to a formal inquiry held into the allegations levelled against the Petitioner, his services had already been terminated by the Respondents and therefore, the instant application has now, become redundant and futile and therefore, it should be dismissed on this ground too.

It is to be observed that the Petitioner had never opted to refute or controvert the matters so brought to our notice by the Respondents in their written submissions which clearly, shows that the Petitioner himself had clearly, and unequivocally, admitted the truth of it for; it was the Petitioner who would be the best person to controvert it if it was untrue.

I would therefore, hold that the instant application in revision has now, become redundant and/or futile in view of the fact that his services had already, been

terminated by the Respondents pursuant to a formal inquiry held into the allegations levelled by the Respondents against the Petitioner and therefore, the instant application in revision should be dismissed on this ground too.

In view of my findings as aforesaid, I would think it not necessary to consider any further the other grounds so urged by the Respondents in their written submissions filed before this Court.

In the result, I would dismiss the instant application in revision with costs fixed at 25,000/- payable by the Petitioner to the 2nd Respondent.

JUDGE OF THE COURT OF APPEAL

D. THOTAWATTA, J.

I agree.

JUDGE OF THE COURT OF APPEAL